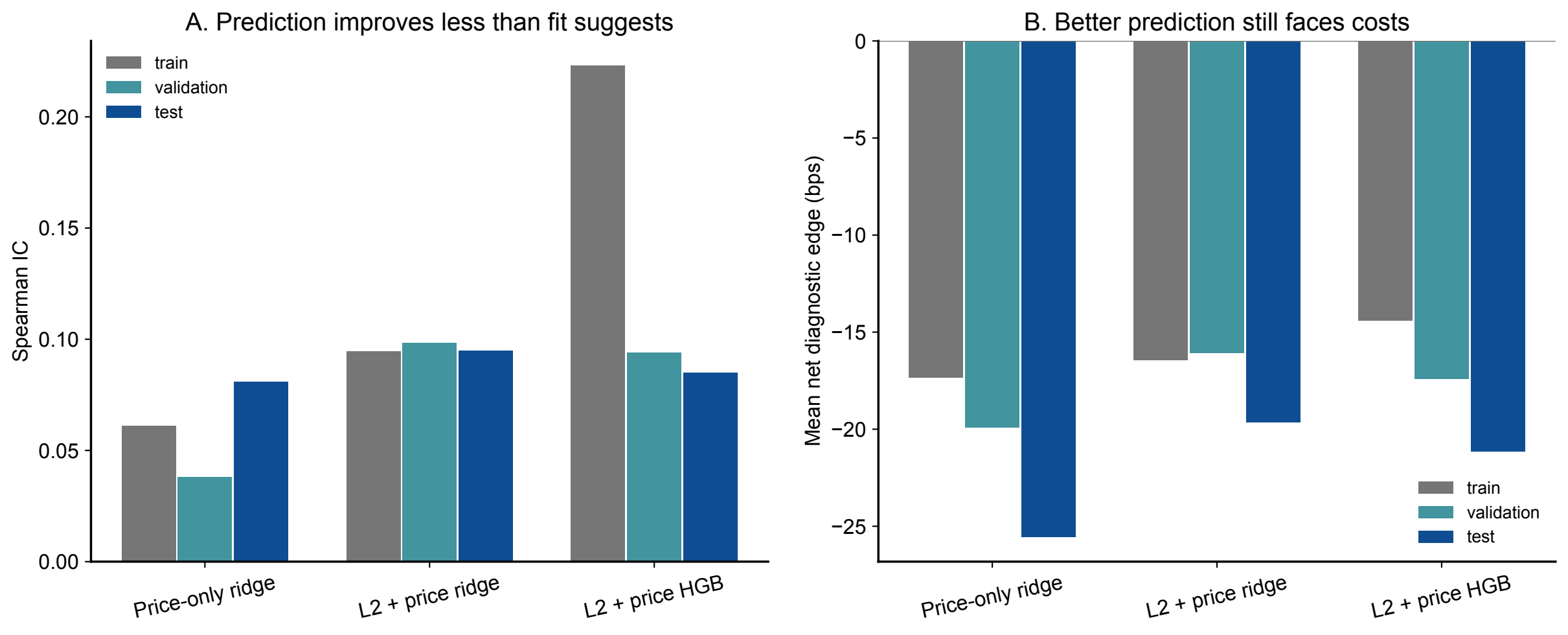
A. Prediction improves less than fit suggests
train
validation
test
Spearman IC
0.00
0.05
0.10
0.15
0.20
Price-only ridge
L2 + price ridge
L2 + price HGB
B. Better prediction still faces costs
Mean net diagnostic edge (bps)
0
−5
−10
−15
−20
−25
train
validation
test
Price-only ridge
L2 + price ridge
L2 + price HGB